Freeport McMoran (NYSE:FCX)

5-Year IRR: 10.1%
Implied Upside: 21.25%

WIC x PBSN Stock Pitch Competition:

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I.

Company Overview

Executive Summary

FREEPORT-MCMORAN

Freeport-McMoRan (FCX) is a global leader in mining, centered on the production of copper, gold, and molybdenum.

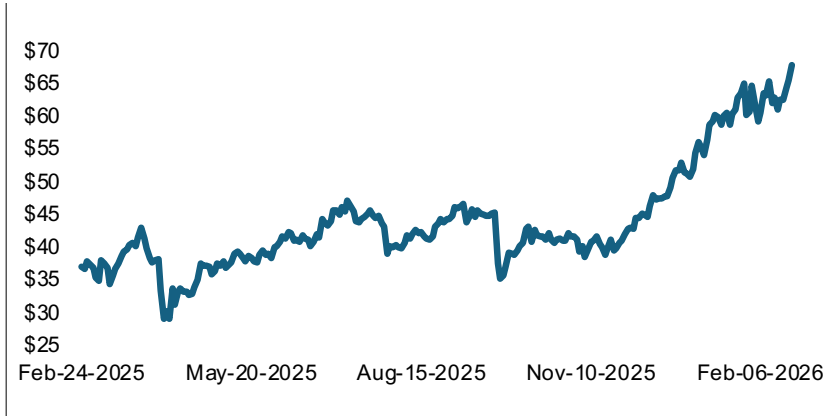
Business Overview

- **Mining Copper:** They operate massive mines in the **U.S.** (Arizona/New Mexico), **South America** (Peru/Chile), and **Indonesia**.
- **Extracting Gold & Molybdenum:** When they mine for copper, they often find gold and molybdenum (a metal used to strengthen steel) in the same rock. Selling these "by-products" helps them cover the costs of their copper operations.
- **Refining & Smelting:** Operate facilities that turn raw ore into high-purity metal sheets (cathodes) and rods that manufacturers can use to make wires and parts.

Key Financials (NYSE: $FCX)

Key Financials	
Ticker	**NYSE:FCX**
Share Price	65.55
52 Week Low - High	27.66 - 69.44
Market Capitalization	94,208
Enterprise Value	112,743
EV/EBITDA	12.1x
P/E	43.1x

52 Week Stock Chart



Key Q4 Growth Highlights

- Reported Adj **EPS of $0.47,** consensus was $0.28 (68% beat)
- Reached **$5.63 billion in revenue** driven by record high copper and gold prices
- Strong cash flow; generated **$10 billion in Adj EBITDA** for the full year 2025, maintaining 2024 levels despite lower volumes
- U.S. copper production expected to **rise 8%** in 2026

CapitalIQ, Company Fillings

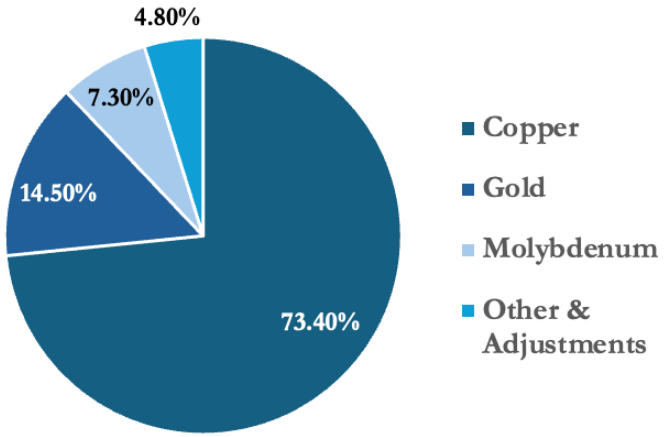
Business Overview: What does FCX sell?

FREEPORT-MCMORAN

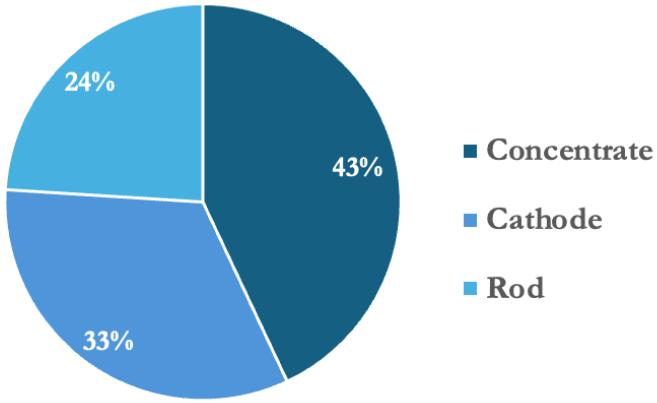
FCX maintains a globally diversified portfolio that sells a variety of refined and unrefined metal products

Product Mix Breakdown

Revenue Breakdown



Copper Breakdown



Copper	Gold	Molybdenum	Other
China: Epicenter of global copper consumption, absorbing **~60% of all refined copper** **U.S. Hyperscalers:** Tech giants building AI data centers. A single major AI facility can consume **40,000–50,000 tonnes** of copper	Held as a store of wealth and a way to hedge economic and geopolitical risk Sells the gold it produces, to international smelters, refineries, and industrial consumers. Essential for high-reliability connectors in high-end electronics and AI chips.	FCX is the **world's leading producer** of this critical mineral **Steel Mills**: The iron and steel industry consumes the vast majority of moly to create high-strength alloys Molybdenum is becoming essential for **semiconductors** and 3D printing due to its high reliability and low resistance	**Silver** is a significant by-product of FCX's copper mining. They also recover small amounts of Rhenium, Selenium, and Tellurium **Atlantic Copper (Spain):** This 100%-owned subsidiary acts as a "toll" processor. They take copper concentrate from third-party miners turn it into finished cathodes

Concentrate	Buyers: External smelters (mostly in Asia). They buy this powder to refine it into pure metal themselves.
Cathode	Buyers: Copper mills and foundries. These 99.99% pure sheets are used as melting stock for industrial manufacturing.
Rod	Buyers: Cable and electrical wire manufacturers. This is the highest-margin form, ready-to-use for power cords and car wiring.

CapitalIQ, Yahoo Finance, Company Filings

Mining Operations Overview

FREEPORT-MCMORAN

Freeport-McMoRan (FCX) is a global leader in mining, centered on the production of copper, gold, and molybdenum.

North America (100% Owned):

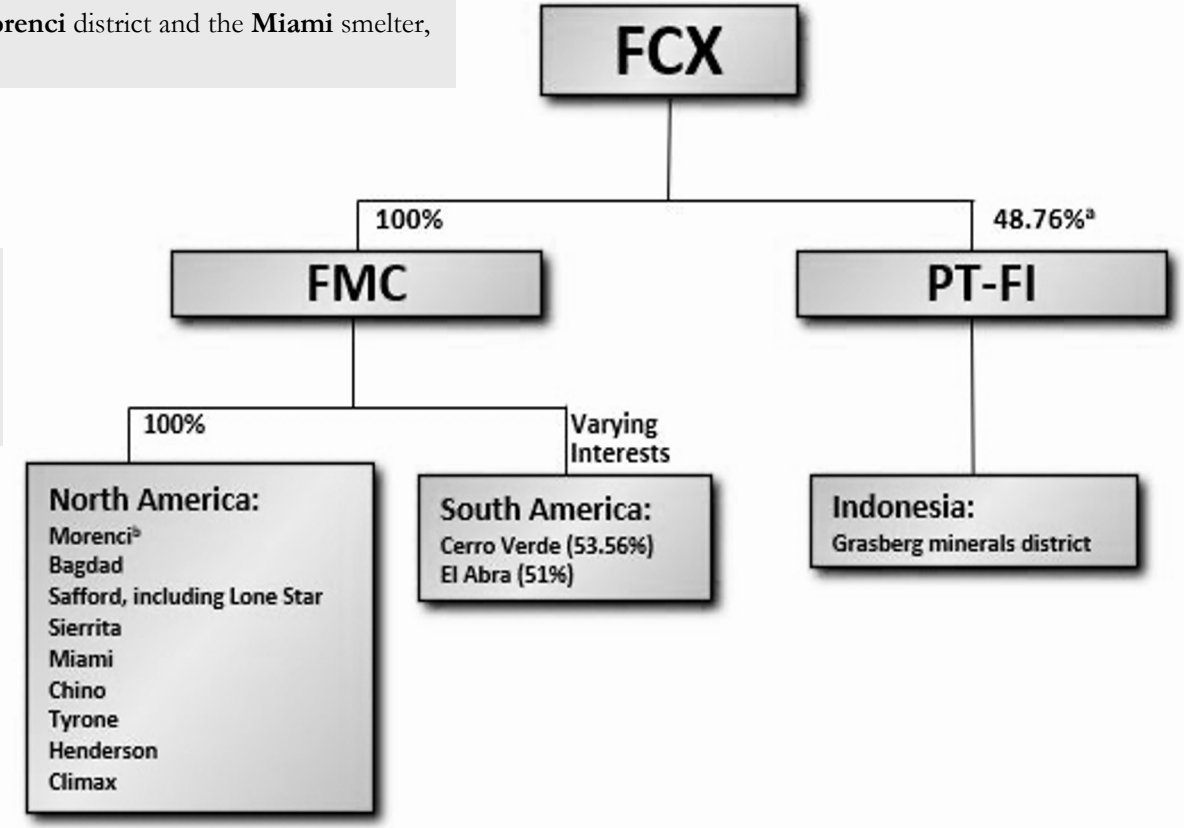
Operated through **FMC**, this segment provides total operational control and full cash flow retention within a low-risk jurisdiction. It includes the **Morenci** district and the **Miami** smelter, anchoring FCX as the dominant U.S. copper producer.

Indonesia (48.76% Interest):

Through **PT-FI**, FCX manages the **Grasberg** district. While ownership is shared with the Indonesian government, FCX maintains operational leadership of this "cash engine," which produces significant gold by-products that lower overall corporate costs.

South America (Majority Interest):

FCX holds controlling stakes in **Cerro Verde (53.56%)** and **El Abra (51%)**. these assets offer large-scale concentrate production and long-term expansion potential in established mining regions.



Company Fillings, SEC Fillings

Grasberg, Morenci and Cerro Verde

FREEPORT-MCMORAN

Freeport-McMoRan (FCX) is a global leader in mining, centered on the production of copper, gold, and molybdenum.

Grasberg Minerals District (Papua, Indonesia)

Current mining rights and agreements with the Indonesian government extend through 2061

World's largest gold mine and second-largest copper mine. → In 2019, the open pit was exhausted; began a multi-billion dollar, decade-long transition to underground mining via **block caving**. Now a 100% underground operation. → Grasberg is the primary source of FCX's gold, which acts as a "cash credit," making their copper production some of the cheapest in the world. → Following a production halt in late 2025 caused by a mud rush, the mine is projected to return to 85% capacity by H2 2026.

Cerro Verde (Arequipa, Peru)

FCX is currently seeking legal and environmental permission to extend the mines useful life from 2045 out to 2053

It processes over 400,000 metric tons of ore per day, with significant production of copper concentrate and cathodes → In 2015, FCX completed a $4.6 billion expansion project, tripling its milling capacity and making it one of the largest concentrators in the world. → Cerro Verde is designed for high throughput. It processes low-grade ore through massive mills with world-leading efficiency.

Morenci Mine (Arizona, USA)

Morenci has enough reserves to operate until 2051, with significant production anticipated through at least 2038

The largest copper mine in North America and the "test bed" for FCX's future technology. → Headquarters for the **Leaching Initiative**. They are unlocking hundreds of millions of pounds of copper without new digging. → As the largest U.S. producer, Morenci is the primary beneficiary of "onshoring" demand for the U.S. power grid and defense sector.

CapitalIQ

An Exceptional Management Team

FREEPORT-MCMORAN

The core team has an average tenure of over 20 years at FCX

Executive Leadership Team

Core team has an average tenure of over 20 years at FCX

Richard C. Adkerson,
Chairman of the Board

Served as CEO from 2003–2024. A legend in the mining industry; he remains active as Chairman to provide strategic continuity.

Kathleen L. Quirk,
President and CEO

Joined FCX in 1989. Previously CFO and President. She is credited with the company's strong capital discipline and the transition to underground mining in Indonesia.

Douglas N. Currault II,
Executive VP and
General Council

Manages the global legal and regulatory hurdles, critical for mining permits and international contracts.

Stephen T. Higgins,
Executive VP and CAO

Oversees global safety, sustainability, and human resources. His 40+ years in metals provide the "license to operate" in ESG-sensitive regions.

Maree E. Robertson,
Executive VP and CFO

Former Rio Tinto executive who joined in 2022. She focuses on the company's "strong balance sheet" strategy and shareholder returns.

The company was recognized as one of America's 100 Most JUST Companies in 2024, specifically for its efforts in workforce retention, training, and providing good benefits.

Freeport-McMoRan Website

II.

Industry Analysis

Industry Analysis

FREEPORT-MCMORAN

The Copper Ladder

Freeport
MK: 98B
U.S.A

The premier pure-play with a dominant U.S. footprint and elite gold credits. Boasting a "net cash" path and **14.3% buyback accretion**, it is the safest, highest-torque vehicle for the electrification trade.

Southern
MK: 178B
U.S.A

Holding massive reserves but weighed by high leverage and Mexico/Peru concentration. SCCO's **limited geographic diversity** and political headwinds make it a riskier, less efficient bet than Freeport.

BHP
MK: 202B
AUS

Largest miner by market cap, but heavily tethered to iron, which is under a downturn (**-7.51%** YTD). BHP extracts the majority of its copper from **Escondida** at 1.28M T, projected to be overtaken by Grasberg in 2026

Rio Tinto
MK: 127B
AUS

Weighed by iron ore and a costly lithium pivot, Rio lacks FCX's copper torque. With only **30% exposure** and **$14.4B debt**, it offers diluted returns and higher execution risk than Freeport's clean profile.

Ivanhoe
22B
CAN

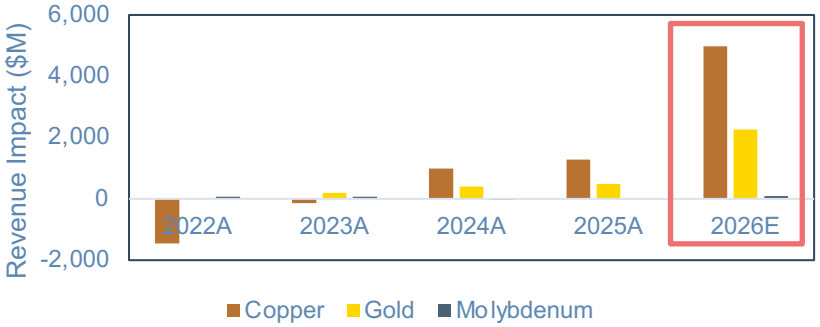
Kamoa-Kakula offers elite grades, but total **DRC** exposure creates extreme jurisdictional risk. Unlike FCX's stable U.S. base, IVN's execution and political hurdles dilute its massive production torque.

U.S. Mining Premium

Freeport remains the largest U.S. miner, controlling **70% of U.S. copper production**, accounting to 39% of production v.s. single digit production percentages amongst the rest of the ladder.

With U.S. tariffs on copper at 50%, Freeport is the only largescale miner positioned to meet the current U.S. copper scarcity premium at minimal gross margins and future demand related to AI and data centers.

YoY Revenue Impact from Commodity Price Changes ($M)



With the large increase in commodity values in the past year (Gold: 81.1%, Copper: 31.2%, Molybdenum 13.0%), Freeport McMoran is expected to deliver an **83.6% consolidated revenue growth jump** in **FY26**, much of which can be invested into buybacks and expansions

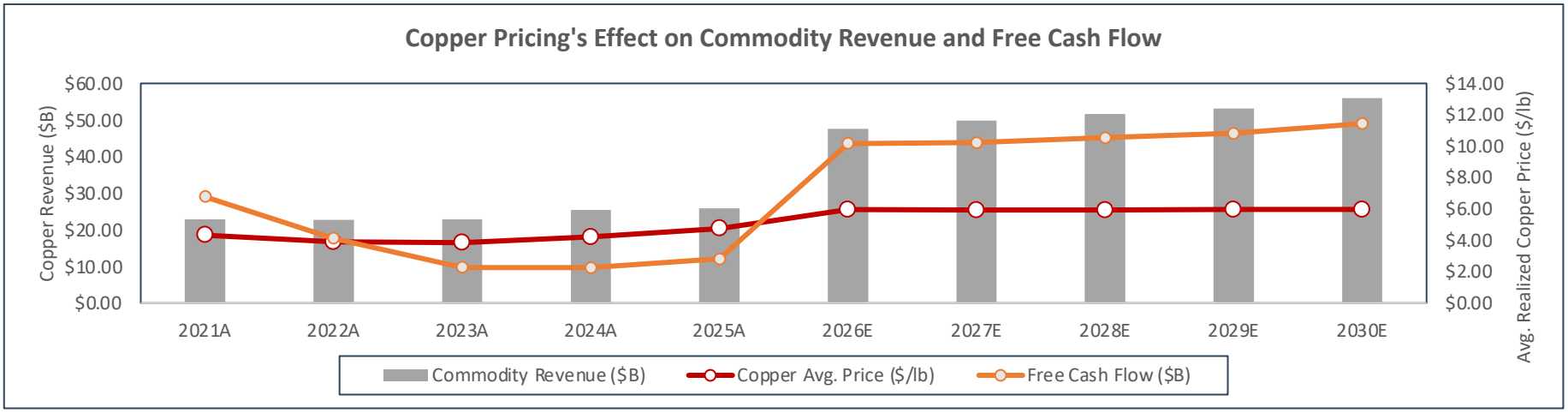
CapitalIQ, 10K Filings

III.

Investment Thesis

Investment Thesis: Copper in the Age of AI

FREEPORT-MCMORAN



Commodity-Driven FCF Surge

360% FCF increase in 2026, which will be deployed into 2 levers: buybacks & expansion projects.

Share Buybacks

Share Buyback Program

FCX, as of 2025 Q4, holds a financial policy to buyback shares for **50% of annual FCF**, contingent on net debt being less than **$4B.** The expansion in margins and FCF are a major lever in expanding share price.

Mining Projects

Kucing Liar

Kucing Liar, a $4B Indonesian project, is expected to yield **$15,179M in NPV** yielding **$500M/Y** in commodity revenue through 2033.

El Abra

El Abra, a $5B mining project, is valued at **$2832M NPV** with an EIS report **expected 2026** and work under way already for mining expansion.

Lone Star

Lone Star is an Arizona-based mining project with worth $2.5B at an NPV of **$2628M**, with mining expected to start late 2027.

Post-Buyback NAV/Share By Copper and Gold Pricing							
CU/AU	$3,500	$4,000	$4,500	$5,150	$5,500	$6,000	$6,500
$4.50	$54.56	$55.98	$57.40	$59.25	$60.24	$61.66	$63.08
$5.00	$61.81	$63.23	$64.66	$66.50	$67.49	$68.92	$70.34
$5.50	$69.07	$70.48	$71.90	$73.75	$74.75	$76.17	$77.59
$5.96	$75.74	$77.15	$78.58	$80.43	$81.43	$82.84	$84.26
$6.50	$83.57	$85.00	$86.41	$88.26	$89.26	$90.67	$92.09
$7.00	$90.82	$92.24	$93.67	$95.52	$96.50	$97.93	$99.35
$7.50	$98.08	$99.50	$100.91	$102.76	$103.76	$105.19	$106.60

$FCX can ONLY have a downside if…

Copper having a huge $1 correction to $5.00 in Goldman's Bear Case, with Street projecting a $5.50 floor & a correction down to $4000 in Gold, $500 past the $4500 consensus Street floor on Gold pricing.

CapitalIQ, 10K Filings

Investment Thesis: Grasberg Recovery

FREEPORT-MCMORAN

Freeport-McMoRan (FCX) is a global leader in mining, centered on the production of copper, gold, and molybdenum.

Management's Return to 85% Capacity

Sept. 25
Mudslide Shuts down Grasberg Production

Q2 2026
Mining restart at Grasberg Mine begins

Q4 2026
Mining returns to 85% capacity

FY2027
Mining reaches full logistical capacity

2027 — 2041
Freeport mines 1500B pounds of copper and 1500B oz of gold at 48.76% ownership stakes

2042 – 2061 (EOL)
Freeport's ownership is diluted to 37% starting in 2042, with production volumes consistent

The Grasberg mine is one of the largest growth drivers for FCX as the third largest gold mine in the world, leveraging high modern gold prices.

Freeport's Political Moat

Life Of Resource Value

In Feb. 26, Freeport signed a Life of Resource Memorandum to extend leasing **through 2061**, ensuring lifetime ownership of the world's leading mine

Gold Tax Shielding

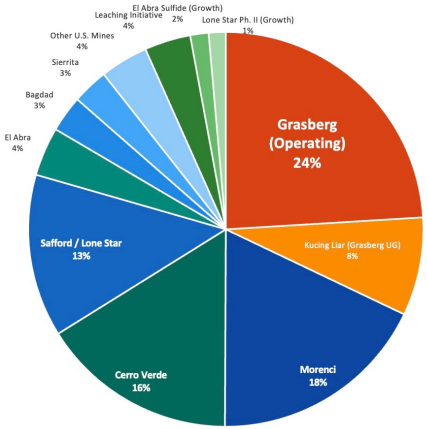
With high gold prices, Indonesia is expected to collect **$800M in gold** taxes from FCX by 2030, generating an economic incentive to support FCX mining operations

Gresik Smelter Value

The Gresik smelter, opening FY26, ensures **100% of Grasberg copper is smeltered domestically,** increasing export value for Indonesia.

None of FCX's largest competitors hold such friendly terms in the SEA region, with many highly-exposed to high-risk areas (DRC, Venezuela).

Grasberg NAV Value

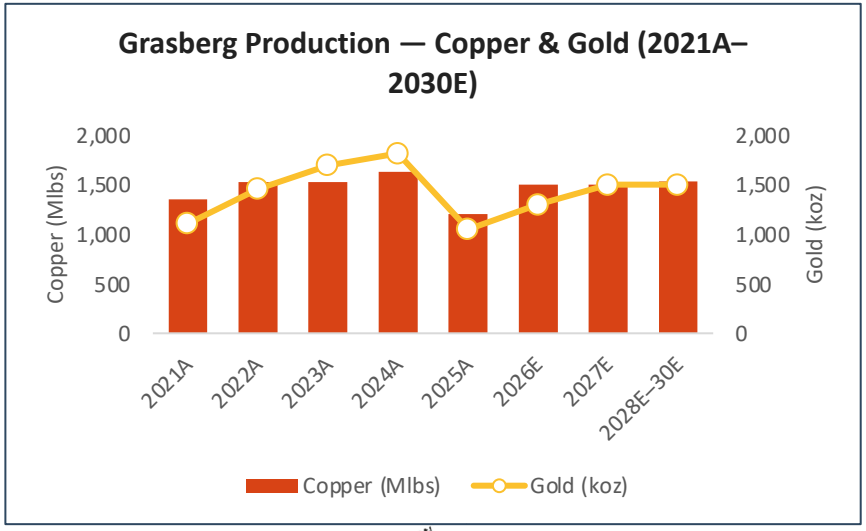


Leading Mine (NAV)

Grasberg itself makes up over 24% of NAV, with the Kucing Liar extension making up to 8% for a total value of **32%**

Revenue Titan

Recovering Revenue makes up over **31% of revenue**, with a fast recovery weaning off a large portion of investor worries.



CapitalIQ, 10K Filings

WESTERN INVESTMENT CLUB

A Growing High-Margin Segment: Leaching

FREEPORT-MCMORAN

Freeport-McMoRan (FCX) is a global leader in mining, centered on the production of copper, gold, and molybdenum.

How Leaching Works

Leaching is the process of applying proprietary chemical and biological tech to existing waste rock, allowing for **increased copper production** with **no new digging** required

Freeport-McMoRan (FCX) estimates it holds approximately **39 billion pounds (about 17.7 million metric tons) of copper** in stockpiles and waste rock at its U.S. mines that can be processed using advanced leaching technology.

Key Volume + Cost Projections

Volume: The company is targeting up to 300 mlbs in 2026, 400 mlbs in 2027 and **800 mlbs by 2030**

Cost: Estimates show this can reduce the cash cost of producing this copper from 296 cents/lb to **250 cents/lb by 2027**

Why This Is Matters

Circular Economy:

This process extracts value from material already mined decades ago that was discarded as waste, **avoiding the $10 billion+** cost required to build new mines.

Lower Footprint

Requires no new digging, no heavy hauling, and no high-heat smelting, drastically reducing the carbon and water intensity per pound of copper.

Margin Impact

Copper extracted via Leaching is estimated to cost around **$1.00 per pound**, which is significantly lower than the market price of copper and traditional mining costs.

Traditional Smelting

1. Extraction: New drilling/blasting
2. Preparation: Grinding into slurry
3. Separation: Chemical froth flotation
4. Purification: High-heat smelting
5. Final: Electrolytic refining

Est. Margin: ~45%

Leaching & SX/EW

1. Extraction: Existing waste rock
2. Preparation: Stacking on pads
3. Separation: Acid solution irrigation
4. Purification: Solvent Extraction (SX)
5. Final: Electrowinning (EW)

Est. Margin: ~85%

Investment Thesis: Buyback Program

FREEPORT-MCMORAN

Freeport's Buyback Structure Explained

Free Cash Flow (FCF)

50% Equity Returns
- Base Dividend
- Variable Dividend

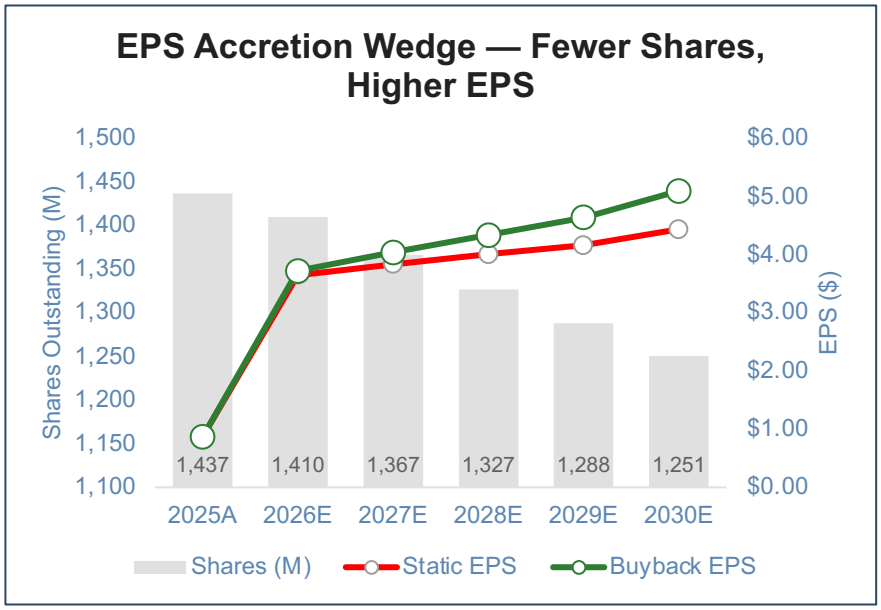
If Net Debt < 4B
Share Buybacks: +Share Price

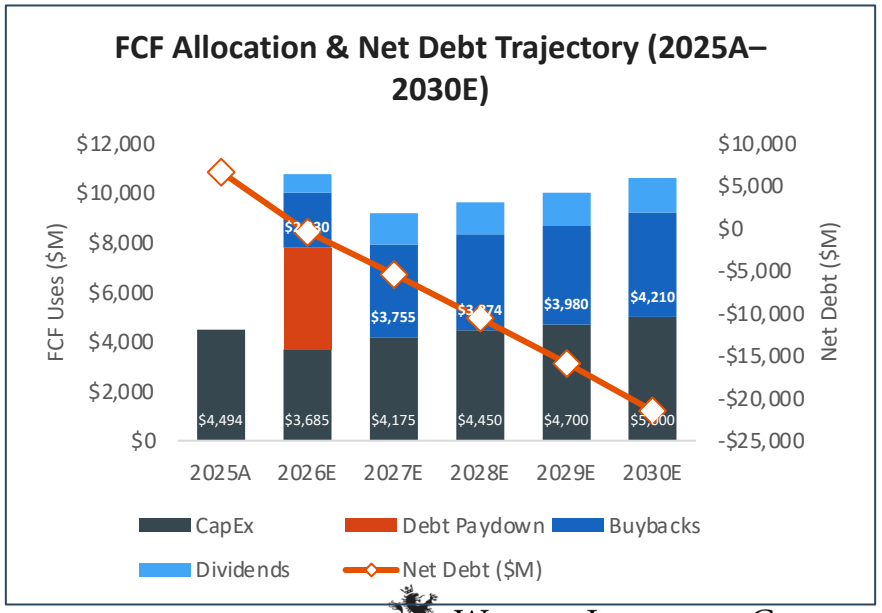
50% Reinvestment & Balance Sheet
- Growth Capex (Leaching, Al Abra, Kucing Liar)
- Debt Reduction / Cash

Buyback Schedule

Statistic	2026E	2027E	2028E	2029E	2030E
Buyback Spend ($M)	$2,230	$3,755	$3,874	$3,980	$4,210
Implied Buyback Price ($/sh)	$80.87	$88.06	$95.88	$104.40	$113.67
Shares Repurchased (M)	27.6	42.6	40.4	38.1	37.0
Cumulative Shares Retired (M)	27.6	70.2	110.6	148.7	185.8
Buyback Yield (% of Mkt Cap)	2.4%	4.1%	4.2%	4.3%	4.6%
Total Shareholder Yield (%)	3.2%	5.4%	5.6%	5.7%	6.1%
Cumulative Buyback Spend ($M)	$2,230	$5,985	$9,859	$13,839	$18,049

The following estimates a buyback schedule at bull buyback prices.





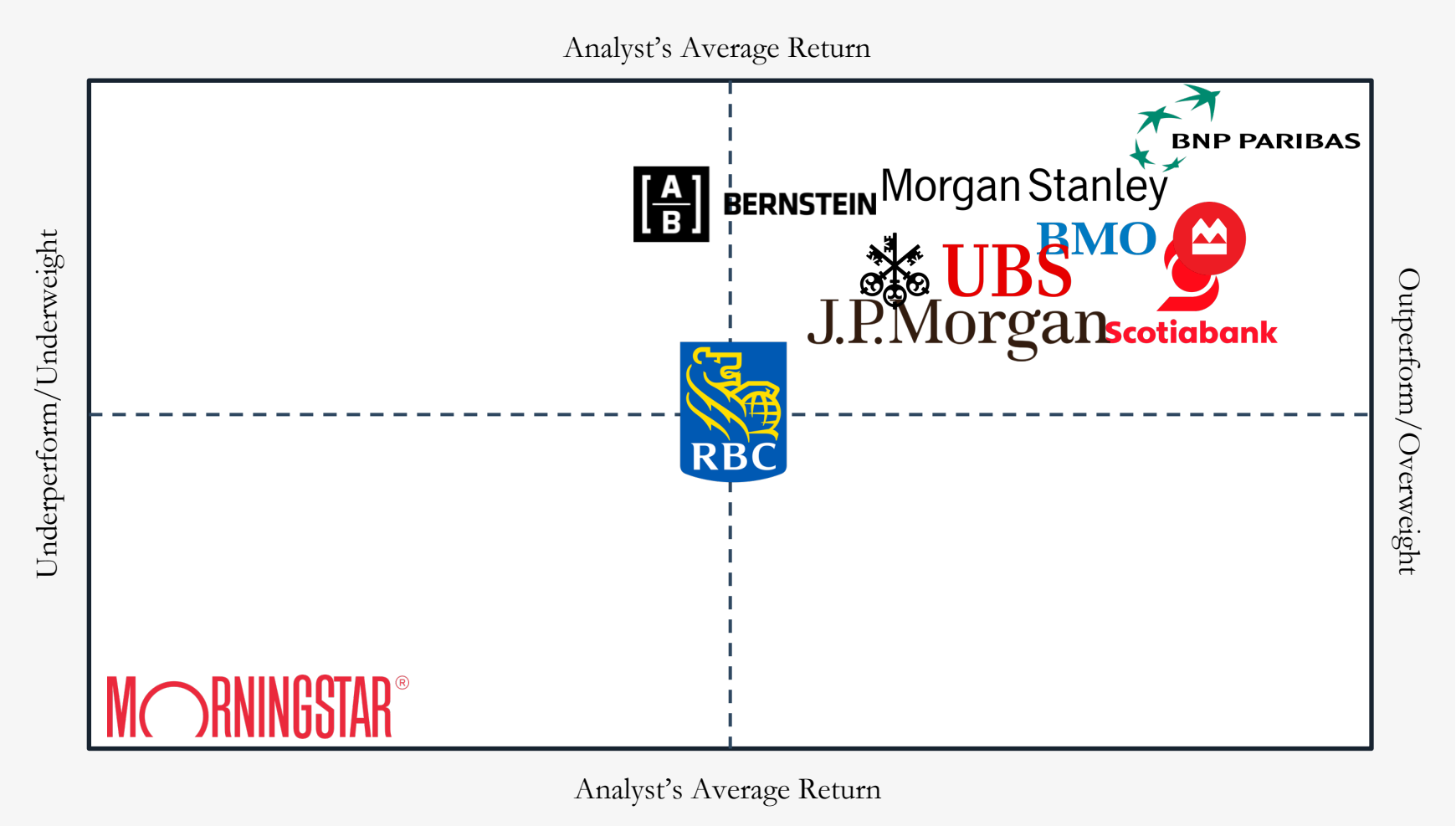
CapitalIQ, 10K Filings

WESTERN INVESTMENT CLUB

Investment Thesis: Analysts Say There is Still Upside

FCX is up ~12% this month. Nonetheless it is still an attractive investment

FREEPORT-MCMORAN



Bloomberg Terminal

IV.

Risks and Mitigants

Risks and Mitigants

FREEPORT-MCMORAN

We have identified a few key headwinds that could limit the stock's upside

	Risk	Mitigant
Operational Disruptions	Further delays in muck removal or structural repairs could force management to lower its 2026 production guidance, leading to a "double-miss" on volume and earnings.	FCX has successfully restored 60% of impacted blocks as of early 2026, with 85% capacity targeted by H2. Use of autonomous "boggers" allows for 24/7 recovery in high-risk accelerating the timeline by 3–4 months compared to traditional methods.
Sensitivity to Copper Price Volatility	FCX is a pure-play copper producer that does not hedge its production. Every $0.10/lb change in the price of copper impacts the company's annual EBITDA by approximately **$430 million**.	The **Leaching Initiative** serves as the primary hedge. By 2030, 800M lbs of copper will be produced at a cash cost of **<$1.00/lb**. Even if copper prices crash to $3.50/lb, the high-margin leach and gold-credited Indonesian output ensure FCX remains free-cash-flow positive while competitors face shutdowns.
Dilution of Indonesian Interest	To secure mining rights until 2041, FCX signed an MOU to transfer an additional **12% stake** to the Indonesian government. Eventually reducing FCX's economic interest in its most profitable asset from 48.76% to **~37%**.	Allows FCX to develop the **Kucing Liar** deposit, which adds decades of life to the mine**.** 37% ownership of a 100-year, "tier-one" resource with a secured permit is worth significantly more than 48% of a contract that was set to face legal expiration risk.

CapitalIQ, Yahoo Finance

V.

Valuation

Valuation & Returns: Revenue Projections

FREEPORT-MCMORAN

	2024A	2025A	Q1 '26	Q2 '26	Q3 '26	Q4 '26	2026E	2027E	2028E	2029E	2030E
COMMODITY PRICING											
Copper Realized ($/lb)	$4.24	$4.78	$5.87	$5.93	$5.99	$6.05	$5.96	$5.88	$5.83	$5.80	$5.75
Gold Realized ($/oz)	$2,418	$3,423	$5,050	$5,100	$5,200	$5,250	$5,150	$5,100	$5,100	$5,100	$5,100
Molybdenum ($/lb)	$21.77	$22.63	$23.50	$23.50	$24.00	$24.00	$23.75	$24.00	$24.00	$24.00	$24.00
COPPER PRODUCTION BY REGION (Mlbs)											
U.S. Mining	1,257	1,295	321	334	367	376	1,635	1,778	1,969	2,128	2,347
South America	1,177	1,073	266	266	273	275	1,090	1,115	1,130	1,140	1,143
Indonesia (Grasberg)	1,632	1,205	52	139	340	369	1,500	1,500	1,500	1,500	1,600
Total Copper	**4,066**	**3,573**	**639**	**739**	**980**	**1,020**	**4,225**	**4,393**	**4,599**	**4,768**	**5,090**
% YoY	*-0.5%*	*-12.1%*					*18.2%*	*4.0%*	*4.7%*	*3.7%*	*6.8%*
Gold (koz)	1,837	1,066	60	140	290	310	1,315	1,515	1,518	1,518	1,618
Moly (Mlbs)	62	71	22	23	22	23	90	90	95	98	98
REVENUE BUILD ($M)											
Copper		17,079	3,751	4,382	5,870	6,171	25,181	25,831	26,812	27,654	29,268
Gold		3,649	303	714	1,508	1,628	6,772	7,727	7,742	7,742	8,252
Molybdenum		1,607	517	541	528	552	2,138	2,160	2,280	2,352	2,352
Other / Processing		12,700	3,300	3,350	3,400	3,450	13,500	13,900	14,300	14,700	15,100
Total Revenue	**25,455**	**25,915**	**7,871**	**8,987**	**11,306**	**11,801**	**47,591**	**49,617**	**51,134**	**52,448**	**54,971**
% YoY	*11.4%*	*1.8%*					*83.6%*	*4.3%*	*3.1%*	*2.6%*	*4.8%*
UNIT ECONOMICS & MARGINS											
Net C1 Cash Cost ($/lb)	$0.70	$0.78	$1.01	$0.61	$0.27	$0.25	$0.28	$0.13	$0.27	$0.39	$0.49
By-Product Credit ($/lb)	$1.42	$1.47	$1.28	$1.70	$2.08	$2.14	$2.11	$2.25	$2.18	$2.12	$2.08
Cu AISC ($/lb)	$2.49	$2.75	$2.85	$2.88	$2.90	$2.95	$2.95	$2.95	$3.05	$3.12	$3.20
Gross Margin	*39.5%*	*37.1%*					*40.8%*	*40.4%*	*40.6%*	*40.7%*	*40.9%*
EBITDA Margin	*37.5%*	*35.1%*					*38.8%*	*38.4%*	*38.6%*	*38.7%*	*38.9%*
EBIT Margin	*27.3%*	*25.1%*					*32.8%*	*32.5%*	*32.6%*	*32.7%*	*33.0%*

Long-run Commodity Prices

FCX is expected to see a huge revenue jump due to price-jumps in Gold, Copper, and Molybdenum. Copper was modelled for a 10Y mean reversion to $5.50, while Gold and Molybdenum were held constant to reflect mixed opinions on future Gold and Molybdenum Pricing

By-Product Mining Credits

It is important to price in mining credits, yielded when another commodity is mined within another site (e.g. a Copper mine yielding some portion of Gold and Molybdenum). With growing commodity prices, these yield significant impact on the bottom line. In addition, these mining credits will have a large impact on the NAV value of the company.

U.S. (Leaching) and Grasberg Expansions

Leaching initiatives in major mines (Morenci, Cerro Verdo, Al Abra) are looking to leverage **39B lb** of copper waste, generating up to $800MM in additional copper revenue per year by 2028. Major mine expansions like Baghdad and Morenci work to dramatically increase U.S. production as well. The Grasberg expansion also adds a large portion of copper and gold revenue.

Institution	Copper Forecast	Gold Forecast	Molybdenum Forecast
J.P. Morgan	$5.50	$6,300	$25.00
Goldman Sachs	$5.17	$5,400	$24.25
Citi Research	$5.90	$5,000	$25.00
UBS Global	$5.90	$6,200	$24.50
Bank of America	$5.13	$5,000	$23.50

Valuation & Returns: DCF Model

FREEPORT-MCMORAN

	2024A	2025A	Q1 '26	Q2 '26	Q3 '26	Q4 '26	2026E	2027E	2028E	2029E	2030E
INCOME STATEMENT											
Revenue	25455	25915	7871	8987	11306	11801	47591	49617	51134	52448	54971
% Growth	*0.114*	*0.018*					*0.836*	*0.043*	*0.031*	*0.026*	*0.048*
COGS	-15388	-16310	-4837	-5480	-6743	-7016	-28190	-29505	-30394	-31110	-32485
Gross Profit	10067	9605	3034	3507	4563	4784	19401	20045	20740	21338	22486
Gross Margin	*0.395*	*0.371*	*0.385*	*0.39*	*0.404*	*0.405*	*0.408*	*0.404*	*0.406*	*0.407*	*0.409*
D&A	-2595	-2599	-700	-710	-720	-730	-2860	-2950	-3050	-3150	-3250
Mining EBITDA	**9556**	**9101**	**2876**	**3327**	**4337**	**4548**	**18449**	**19053**	**19717**	**20289**	**21387**
EBITDA Margin	*0.375*	*0.351*	*0.365*	*0.37*	*0.384*	*0.385*	*0.388*	*0.384*	*0.386*	*0.387*	*0.389*
Mining EBIT	**6961**	**6502**	**2176**	**2617**	**3617**	**3818**	**15589**	**16103**	**16667**	**17139**	**18137**
EBIT Margin	*0.273*	*0.251*	*0.277*	*0.291*	*0.32*	*0.324*	*0.328*	*0.325*	*0.326*	*0.327*	*0.33*
UNLEVERED FREE CASH FLOW											
EBIAT	4438	4281	1410	1696	2344	2474	10101	10434	10800	11106	11752
+ D&A	2595	2599	700	710	720	730	2860	2950	3050	3150	3250
– CapEx	-4808	-4494	-906	-916	-926	-937	-3685	-4175	-4450	-4700	-5000
Maint. CapEx			-700	-710	-720	-730	-2860	-2950	-3050	-3150	-3250
Growth CapEx			-206	-206	-206	-207	-825	-1225	-1400	-1550	-1750
– Δ NWC	-35	-428	-174	-199	-251	-262	-886	-924	-952	-977	-1024
Unlevered FCF	**2260**	**2814**	**1378**	**1689**	**2389**	**2529**	**10163**	**10133**	**10352**	**10533**	**11026**
FCF Margin	*0.089*	*0.109*	*0.175*	*0.188*	*0.211*	*0.214*	*0.214*	*0.204*	*0.202*	*0.201*	*0.201*
FCF Growth							*2.612*	*-0.003*	*0.022*	*0.017*	*0.047*
PRESENT VALUE OF FCFs											
PV of FCF							9333	8547	8019	7493	7204
Cumulative PV							**9333**	**17880**	**25900**	**33393**	**40597**

Terminal Value		123,964
Present Value of Terminal Value		80,997
Enterprise Value		**121,594**
+ Cash		3,824
- Debt		10,492
– Minority Interest		11,867
Equity Value		**103,059**
Shares		1,437
Share Price	**$**	**71.71**

Shareholder Allocation	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Bull-Case UFCF	10,162.6	10,133.2	10,352.2	10,532.8	11,026.0
After-Tax Interest	123.0	207.0	207.0	207.0	207.0
Free Cash Flow to Equity	**10,039.6**	**9,926.2**	**10,145.2**	**10,325.8**	**10,819.0**
Shareholder Payout	2,973.0	4,963.1	5,072.6	5,162.9	5,409.5
→ Buybacks	2,229.8	3,722.3	3,804.5	3,872.2	4,057.1
→ Variable Dividends	743.3	1,240.8	1,268.2	1,290.7	1,352.4
Share Count Impact					
Implied Fair Value	$78.08	$85.02	$92.57	$100.79	$109.75
Shares Repurchased (M)	28.6	43.8	41.1	38.4	37.0
Cumulative Shares Retired (M	28.6	72.3	113.4	151.9	188.8
Buyback-Adjusted Shares (M)					**1,248.4**
Buyback-Adjusted Share Price					**82.55**

Valuation & Returns: NAV Modelling

FREEPORT-MCMORAN

NAV BRIDGE TO EQUITY VALUE	
Enterprise Value (Life-of-Mine)	105,290
+ Risk-Adj Growth Options	14,133
= Total Enterprise NAV	**119,423**
Adjustments:	
+ Cash & ST Investments	3,824
– Total Debt	-10,492
– Minority Interest	-11,867
– PV of Corp G&A	-3,222
– Net Pension / OPEB	-103
= Total Adjustments	**-21,860**
NET ASSET VALUE (Equity)	**97,564**
Shares Outstanding (M)	1,437.2
NAV PER SHARE	**$67.88**
Current Share Price	$64.34
Upside / (Downside)	5.5%

POST-BUYBACK NAV	Static	Post-Buyback
NAV Equity ($M)	97,564	97,564
Shares (M)	1,437.2	1,248.4
Shares Retired (M)	—	188.8
% Reduction	—	–13.1%
NAV PER SHARE	**$67.88**	**$78.15**
Buyback Accretion	—	*$10.27*
vs. Current ($64.34)	5.5%	21.5%

SEGMENT NAV DECOMPOSITION			
Segment	Revenue	% Mix	NAV ($M)
Copper Mining	29,268	53.2%	56,058
Gold (By-Product)	8,252	15.0%	15,805
Molybdenum	2,352	4.3%	4,505
Processing / Smelting	15,100	27.5%	28,922
Total	**54,971**	**100.0%**	**105,290**

KEY ASSUMPTIONS	
WACC	8.90%
Terminal Growth Rate	2.00%
Tax Rate	35.20%
Indo TV Haircut	0.759x
Shares Outstanding	1,437.2M

MINE-LEVEL NAV	
Mine / Asset	NAV ($M)
Grasberg (Operating)	29,440
Morenci	22,035
Cerro Verde	19,670
Safford / Lone Star	16,338
El Abra	4,901
Bagdad	3,655
Sierrita	3,612
Other U.S. Mines	4,816
Leaching Initiative	4,625

Final Valuation

Bull Case:	Base Case:	Bear Case:
$100.68 (47.8%)	$82.55 (21.25%)	$68.55 (0.69%)
WACC: 8%, TGR: 3%	WACC: 8.9%, TGR: 2%	WACC: 10%, TGR: 1%

TV Haircut

The TV Haircut exists to trim the NAV for the Grasberg mines according to the decrease in ownership stakes and lease concerns. These were recently addressed.

WACC

FCX is privy to a relatively low WACC due to the securing of recent LOM rights in Grasberg, along with FCX's highly diversified business model to other miners.

VI.

Appendix

Appendix: Assumptions Modelling

FREEPORT-MCMORAN

Debt	10,492
% Debt	10.2%
Cost of Debt	5.2%
Tax Rate	34.9%
Equity Value	92,470
% Equity	90%
Cost of Equity	9.5%
Risk Free Rate	2.8%
Beta	1.35
Market Risk Premium	5.0%
Debt + Equity	102,962
x **WACC**	**8.88%**

IRR by Exit Scenario	Exit Price	Exit Price	5yr IRR
Bull DCF (static)	$71.71	$71.71	7.4%
Bull DCF (post-buyback)		$82.55	10.1%
NAV (static)		$67.88	6.4%
NAV (post-buyback)		$78.15	9.0%
No re-rating (exit at market)		$64.34	5.5%

Appendix: Projections

FREEPORT-MCMORAN

§1 OPERATIONAL VOLUME BUILD														
Copper Sales Volume by Region (lb)	***4,087***	***4,066***	***3,573***		***639***	***739***	***980***	***1,020***	***4,225***	***4,393***	***4,599***	***4,768***	***5,090***
Morenci Mine	578	517	496		129	136	150	151	690	760	860	945	1025
% Change		*-10.6%*	*-4.1%*										
Baghdad Mine	148	146	150		36	37	38	39	155	160	165	**168**	**170**
% Change		*-1.4%*	*2.7%*										
Safford Mine	250	246	282		70	75	78	80	420	480	560	**625**	**760**
% Change		*-1.6%*	*14.6%*										
Sierreta Mine	183	167	184		42	42	48	48	175	175	172	**170**	**168**
% Change		*-8.7%*	*10.2%*										
Miami Mine	12	10	9		2	2	3	3	10	12	14	**15**	**16**
% Change		*-16.7%*	*-10.0%*										
Chino Mine	143	133	147		35	35	43	47	150	155	160	**165**	**168**
% Change		*-7.0%*	*10.5%*										
Tyrone Mine	53	44	33		9	8	9	8	35	36	38	**40**	**40**
% Change		*-17.0%*	*-25.0%*										
Other Mines	-5	-6	-6		-2	-1	-2	0	0	0	0	0	0
% Change		*20.0%*	*0.0%*										
Total U.S. Mining	**1,362**	**1,257**	**1,295**		321	334	367	376	1,635	1,778	1,969	2,128	2,347
% Change		*-7.7%*	*3.0%*										
Cerro Verdo	988	958	865		206	214	229	229	880	900	910	915	915
% Change		*-3.0%*	*-9.7%*										
El Abra	212	219	208		60	52	44	46	210	215	220	225	228
% Change		*3.3%*	*-5.0%*										
Total South America Mining	**1,200**	**1,177**	**1,073**	**0**	**266**	**266**	**273**	**275**	**1,090**	**1,115**	**1,130**	1140	1143
% Change		*-1.9%*	*-8.8%*										
Grasberg	1,525	1,632	1,205		52	139	340	369	1500	1500	1500	1500	1600
% Change		*7.0%*	*-26.2%*										
Total Indonesia Mining	**1,525**	**1,632**	**1,205**	**0**	**52**	**139**	**340**	**369**	**1,500**	**1,500**	**1,500**	1500	1600
% Change		*7.0%*	*-26.2%*										
Gold Sales Volume by Region (Oz)	***1,713***	***1,837***	***1,066***		***60***	***140***	***290***	***310***	***1,315***	***1,515***	***1,518***	***1,518***	1,618
Total U.S. Mining	16	20	16		3	4	3	5	15	15	18	18	18
% Change													
Total Indonesia Mining	1,697	1,817	1,050	#	57	136	287	305	1300	1500	1500	1500	1600
% Change													
Molybdenum Sales Volume by Region (lb)	***65***	***62***	***71***		**22**	**23**	**22**	**23**	**90**	***90***	***95***	***98***	***98***
Climax	17	18	24										
Henderson	13	12	13										
U.S. Mines	30	**30**	**34**										

§4 UNIT COST BRIDGE (C1 Cash Costs)											
Site Production & Delivery											
Gross Site Production Cost ($/lb)	$1.75	$1.85	$1.88	$1.90	$1.92	$1.95	$1.95	$1.95	$2.00	$2.05	$2.10
Treatment & Refining Charges ($/lb)	$0.18	$0.19	$0.19	$0.19	$0.20	$0.20	$0.20	$0.20	$0.20	$0.21	$0.21
Freight & Transport ($/lb)	$0.07	$0.08	$0.08	$0.08	$0.08	$0.09	$0.09	$0.08	$0.09	$0.09	$0.09
Gross C1 Cash Cost ($/lb)	**$2.00**	**$2.12**	**$2.15**	**$2.17**	**$2.20**	**$2.24**	**$2.24**	**$2.23**	**$2.29**	**$2.35**	**$2.40**
Royalties & Export Duties ($/lb)	$0.12	$0.13	$0.14	$0.14	$0.15	$0.15	$0.15	$0.15	$0.16	$0.16	$0.17
(–) By-Product Credits per lb ($/lb)	($1.42)	($1.47)	($1.28)	($1.70)	($2.08)	($2.14)	($2.11)	($2.25)	($2.18)	($2.12)	($2.08)
Net C1 Cash Cost ($/lb)	**$0.70**	**$0.78**	**$1.01**	**$0.61**	**$0.27**	**$0.25**	**$0.28**	**$0.13**	**$0.27**	**$0.39**	**$0.49**
Copper All-In Sustaining Cost ($/lb)	$2.49	$2.75	$2.85	$2.88	$2.90	$2.95	$2.95	$2.95	$3.05	$3.12	$3.20

Appendix: Projections

FREEPORT-MCMORAN

§5B GROWTH CAPEX BY PROJECT ($M)	2026E	2027E	2028E	2029E	2030E
Bagdad Expansion ($3.5B total, FID 1H 2026)	150	350	400	450	500
Kucing Liar ($4.0B remaining, ~$500M/yr)	500	500	500	500	500
El Abra Sulfide (EIS mid-2026, first Cu 2031+)	0	100	150	200	300
Lone Star Phase II (PFS 2026, prod. ~2030)	0	100	200	250	300
Leaching Initiative (minimal infra)	75	75	50	50	50
Other / Exploration	100	100	100	100	100
Total Growth CapEx ($M)	**825**	**1,225**	**1,400**	**1,550**	**1,750**
Total CapEx (Maint. + Growth, fed to DCF)	**3,685**	**4,175**	**4,450**	**4,700**	**5,000**

§6 INDONESIA 'WINDFALL' TAX & OWNERSHIP DILUTION											
Indonesian Gold Export Tax											
Gold Price Threshold ($/oz)	$3,200	$3,200	$3,200	$3,200	$3,200	$3,200	$3,200	$3,200	$3,200	$3,200	$3,200
Export Tax Rate (%)	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%
Indonesia Gold Volume (kozs)	1,194	693	39	91	189	202	855	985	987	987	1,052
Tax Triggered? (Y/N)	NO	YES	YES	YES	YES	YES	YES	YES	YES	YES	YES
Gold Export Tax Charge ($M)	**$0**	**$356**	**$30**	**$70**	**$147**	**$159**	**$660**	**$753**	**$755**	**$755**	**$805**
2041 PTFI Ownership Dilution											
Current FCX Effective Interest (%)	48.8%	48.8%	48.8%	48.8%	48.8%	48.8%	48.8%	48.8%	48.8%	48.8%	48.8%
Post-2041 Diluted Interest (%)	37.0%	37.0%	37.0%	37.0%	37.0%	37.0%	37.0%	37.0%	37.0%	37.0%	37.0%
Dilution Discount to Terminal Value (%)	24.1%	24.1%	24.1%	24.1%	24.1%	24.1%	24.1%	24.1%	24.1%	24.1%	24.1%
TV Haircut Factor	**0.759x**	**0.759x**	**0.759x**	**0.759x**	**0.759x**	**0.759x**	**0.759x**	**0.759x**	**0.759x**	**0.759x**	**0.759x**

TV = Terminal FCF / (WACC - g) × TV Haircut Factor. Reflects dilution from 48.76% → 37% post-2041.

§7 US 'TARIFF PREMIUM' REVENUE LIFT												
NA Copper Volume — Morenci + Bagdad (Mlbs)	726	663	646	165	173	188	190	845	920	1,025	1,113	1,195
LME Base Copper Price ($/lb)		$4.21	$4.75	$5.85	$5.90	$5.95	$6.00	$5.93	$5.85	$5.80	$5.75	$5.70
Tariff Premium (%)		10.0%	10.0%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%
NA Realized Price incl. Premium ($/lb)		$4.63	$5.23	$7.31	$7.38	$7.44	$7.50	$7.41	$7.31	$7.25	$7.19	$7.13
NA Revenue at LME (no premium) ($M)		$2,791	$3,069	$965	$1,021	$1,119	$1,140	$5,007	$5,382	$5,945	$6,400	$6,812
NA Revenue incl. Tariff Premium ($M)		$3,070	$3,375	$1,207	$1,276	$1,398	$1,425	$6,258	$6,728	$7,431	$8,000	$8,514
Incremental Tariff Revenue ($M)		**$279**	**$307**	**$241**	**$255**	**$280**	**$285**	**$1,252**	**$1,346**	**$1,486**	**$1,600**	**$1,703**
Tariff Revenue as % of Consol. Revenue		1.1%	1.2%	3.1%	2.8%	2.5%	2.4%	2.6%	2.7%	2.9%	3.1%	3.1%

Tariff Premium reflects US §232/domestic scarcity pricing. NA volume receives LME × (1 + Premium%). Non-NA volume at standard LME.

Appendix: Projections

FREEPORT-MCMORAN

§4 UNIT COST BRIDGE (C1 Cash Costs)											
Site Production & Delivery											
Gross Site Production Cost ($/lb)	$1.75	$1.85	$1.88	$1.90	$1.92	$1.95	$1.95	$1.95	$2.00	$2.05	$2.10
Treatment & Refining Charges ($/lb)	$0.18	$0.19	$0.19	$0.19	$0.20	$0.20	$0.20	$0.20	$0.20	$0.21	$0.21
Freight & Transport ($/lb)	$0.07	$0.08	$0.08	$0.08	$0.08	$0.09	$0.09	$0.08	$0.09	$0.09	$0.09
Gross C1 Cash Cost ($/lb)	**$2.00**	**$2.12**	**$2.15**	**$2.17**	**$2.20**	**$2.24**	**$2.24**	**$2.23**	**$2.29**	**$2.35**	**$2.40**
Royalties & Export Duties ($/lb)	$0.12	$0.13	$0.14	$0.14	$0.15	$0.15	$0.15	$0.15	$0.16	$0.16	$0.17
(–) By-Product Credits per lb ($/lb)	($1.42)	($1.47)	($1.28)	($1.70)	($2.08)	($2.14)	($2.11)	($2.25)	($2.18)	($2.12)	($2.08)
Net C1 Cash Cost ($/lb)	**$0.70**	**$0.78**	**$1.01**	**$0.61**	**$0.27**	**$0.25**	**$0.28**	**$0.13**	**$0.27**	**$0.39**	**$0.49**
Copper All-In Sustaining Cost ($/lb)	$2.49	$2.75	$2.85	$2.88	$2.90	$2.95	$2.95	$2.95	$3.05	$3.12	$3.20

§5 EARNINGS SUMMARY											
Consolidated Revenue ($M)	$25,455	$25,915	**$7,871**	**$8,987**	**$11,306**	**$11,801**	**$47,591**	**$49,617**	**$51,134**	**$52,448**	**$54,971**
Revenue Growth (%)	-	*1.8%*	-	-	-	-	*83.6%*	*4.3%*	*3.1%*	*2.6%*	*4.8%*
Total Copper COGS ($M)	$6,845	$6,534	$1,459	$1,704	$2,285	$2,400	$9,814	$10,068	$10,450	$10,779	$11,408
Total Non-Copper COGS ($M)	$8,543	$9,776	$3,378	$3,776	$4,458	$4,616	$18,376	$19,505	$19,944	$20,331	$21,077
Total COGS ($M)	$15,388	$16,310	**$4,837**	**$5,480**	**$6,743**	**$7,016**	**$28,190**	**$29,572**	**$30,394**	**$31,110**	**$32,485**
Gross Profit ($M)	$10,067	$9,605	**$3,034**	**$3,507**	**$4,563**	**$4,784**	**$19,401**	**$20,045**	**$20,740**	**$21,338**	**$22,486**
Gross Margin (%)	*39.5%*	*37.1%*	*38.5%*	*39.0%*	*40.4%*	*40.5%*	*40.8%*	*40.4%*	*40.6%*	*40.7%*	*40.9%*
Mining EBITDA ($M)	$9,556	$9,101	**$2,876**	**$3,327**	**$4,337**	**$4,548**	**$18,449**	**$19,053**	**$19,717**	**$20,289**	**$21,387**
EBITDA Margin (%)	*37.5%*	*35.1%*	*36.5%*	*37.0%*	*38.4%*	*38.5%*	*38.8%*	*38.4%*	*38.6%*	*38.7%*	*38.9%*
D&A ($M)	$2,595	$2,599	$700	$710	$720	$730	$2,860	$2,950	$3,050	$3,150	$3,250
Mining EBIT ($M)	$6,961	$6,502	**$2,176**	**$2,617**	**$3,617**	**$3,818**	**$15,589**	**$16,103**	**$16,667**	**$17,139**	**$18,137**
EBIT Margin (%)	*27.3%*	*25.1%*	*27.6%*	*29.1%*	*32.0%*	*32.4%*	*32.8%*	*32.5%*	*32.6%*	*32.7%*	*33.0%*
Operating Cash Flow ($M)	$7,160	$5,610	**$2,114**	**$2,411**	**$3,071**	**$3,212**	**$12,993**	**$13,417**	**$13,884**	**$14,291**	**$15,039**
OCF Margin (%)	*28.1%*	*21.6%*	*26.9%*	*26.8%*	*27.2%*	*27.2%*	*27.3%*	*27.0%*	*27.2%*	*27.2%*	*27.4%*

§10 GOLDMAN SACHS 'GOLD CREDIT' OFFSET — Stress-Test C1											
GS Scenario Pricing Assumptions											
GS Gold Price Assumption ($/oz)	$5,500	$5,500	$5,500	$5,500	$5,500	$5,500	$5,500	$5,500	$5,500	$5,500	$5,500
GS Moly Price Assumption ($/lb)	$22.00	$22.00	$22.00	$22.00	$22.00	$22.00	$22.00	$22.00	$22.00	$22.00	$22.00
By-Product Credit Recalculation											
GS Gold Credit ($M)	$10,104	$5,863	$330	$770	$1,595	$1,705	$7,233	$8,333	$8,349	$8,349	$8,899
GS Moly Credit ($M)	$1,364	$1,562	$484	$506	$484	$506	$1,980	$1,980	$2,090	$2,156	$2,156
GS Total By-Product Credits ($M)	$11,468	$7,425	$814	$1,276	$2,079	$2,211	$9,213	$10,313	$10,439	$10,505	$11,055
GS By-Product Credit per Cu lb ($/lb)	$2.82	$2.08	$1.27	$1.73	$2.12	$2.17	$2.18	$2.35	$2.27	$2.20	$2.17
Net Cash Cost — GS Scenario											
Gross C1 Cash Cost ($/lb)	$2.00	$2.12	$2.15	$2.17	$2.20	$2.24	$2.24	$2.23	$2.29	$2.35	$2.40
Royalties & Export Duties ($/lb)	$0.12	$0.13	$0.14	$0.14	$0.15	$0.15	$0.15	$0.15	$0.16	$0.16	$0.17
(–) GS By-Product Credit per lb ($/lb)	$2.82	$2.08	$1.27	$1.73	$2.12	$2.17	$2.18	$2.35	$2.27	$2.20	$2.17
GS Net C1 Cash Cost ($/lb)	**-$0.70**	**$0.17**	**$1.02**	**$0.58**	**$0.23**	**$0.22**	**$0.21**	**$0.03**	**$0.18**	**$0.31**	**$0.40**
Margin Expansion Analysis											
Baseline Net C1 ($/lb) [from §4]	$0.70	$0.78	$1.01	$0.61	$0.27	$0.25	$0.28	$0.13	$0.27	$0.39	$0.49
GS Scenario Net C1 ($/lb) [from above]	-$0.70	$0.17	$1.02	$0.58	$0.23	$0.22	$0.21	$0.03	$0.18	$0.31	$0.40
C1 Improvement ($/lb)	$1.40	$0.61	-$0.01	$0.03	$0.04	$0.03	$0.07	$0.10	$0.09	$0.09	$0.09
C1 Improvement (%)	200.7%	77.9%	-0.9%	4.8%	16.1%	12.2%	25.5%	74.9%	33.5%	21.9%	18.2%
Incremental Margin per lb × Cu Volume ($M)	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**

GS bull-case: Gold at $5,500/oz & Moly at $22/lb massively expands by-product credits, compressing net C1 cash costs. Shows FCX as a leveraged play on gold.

Appendix: Projections

FREEPORT-MCMORAN

Revenue by Commodity ($M)	2026E	2027E	2028E	2029E	2030E
Copper Revenue	25,181	25,831	26,812	27,654	29,268
Gold Revenue	6,772	7,727	7,742	7,742	8,252
Molybdenum Revenue	2,138	2,160	2,280	2,352	2,352
Other / Processing Revenue	13,500	13,900	14,300	14,700	15,100
Total Revenue	**47,591**	**49,617**	**51,134**	**52,448**	**54,971**
Revenue Mix (%)					
Copper	52.9%	52.1%	52.4%	52.7%	53.2%
Gold	14.2%	15.6%	15.1%	14.8%	15.0%
Molybdenum	4.5%	4.4%	4.5%	4.5%	4.3%
Other / Processing	28.4%	28.0%	28.0%	28.0%	27.5%
Key P&L Metrics ($M)					
Mining EBITDA	18,449	19,053	19,717	20,289	21,387
D&A	2,860	2,950	3,050	3,150	3,250
EBIT	15,589	16,103	16,667	17,139	18,137
EBIT Margin (%)	32.8%	32.5%	32.6%	32.7%	33.0%
Taxes	5,488	5,668	5,867	6,033	6,384
EBIAT	10,101	10,434	10,800	11,106	11,752
Unlevered FCF	**10,163**	**10,133**	**10,352**	**10,533**	**11,026**

Project	Total CapEx ($M)	Peak Cu (Mlbs/yr)	First Cu	Est. NPV ($M)	Notes
Bagdad Expansion	3,500	300	2032-33	-88	$3.5B total, FID 1H 2026
Kucing Liar (Underground)	4,000	750	2030	15,179	+735 koz Au; $500M/yr thru 2033
El Abra Sulfide	5,000	700	2031-33	2,832	EIS mid-2026; pre-dev only
Lone Star Phase II	2,500	350	~2030	2,628	PFS 2026, FID ~2027
Leaching Initiative	500	400	2026+	7,116	Sub-$1.00/lb; minimal infra
Less: Growth CapEx in 5-yr Window (already in FCF)				-5,925	
TOTAL GROWTH OPTION VALUE ($M)				**21,743**	
Probability Weight (%)				65%	
Risk-Adjusted Growth Value ($M)				**14,133**	